at $283 billion (Rs 24.75 lakh crore) in terms of net revenue now. We are a large industry, but our customer base is shifting, and it's reshaping some of the traditional service delivery frameworks. So, in the near term, this may lead to some workforce rationalisation.

For sure, we will have to go through this short-term pain. Every wave of disruption does this; we have seen it in the past. New roles are created, as are new value chains...but it presents a whole new opportunity. Industries will evolve, you will need to have continuous skilling, upskilling and cross-skilling; building a resilient workforce will be difficult. But once you pivot, you will find a hockey stick-like rapid, exponential growth.

What is noteworthy is that the industry has taken significant steps in preparing the talent base. Roughly a million people have been trained in the new areas, whether it's AI, Generative AI or Agentic AI. Another 100,000 are now proficient in advanced AI,which covers AI Native Cloud, embedded AI, application AI, applied intelligence certification. Companies have been active, for they know they will have to bear the brunt of this change. Those who are prepared will weather the storm, with the middle order perhaps a bit more under threat. I believe hiring trends will continue to evolve, given the increased demand for specialised expertise. There is no one-size-fits-all solution. You will need deep, specialised expertise. Companies will have to navigate this transition based on their unique needs—what is happening within, and what their customer base wants.

CREATING A STRONG WORKFORCE WILL BE DIFFICULT. BUT ONCE YOU PIVOT, A HOCKEY STICK-LIKE RAPID, EXPONENTIAL GROWTH IS POSSIBLE

In the long run, it's a shared commitment. The industry will have to come together, as also academia, which has also been caught off-guard. IT is one of the largest hirers in the university system, so it is important we carry them along, guide them in shifting to new-age categories, show appreciation for what is going on in academia. The government, too, must collaborate more deeply. Industry, academia and government are, in my mind, a triad.

How do you make sure the three of us come together? We need to bridge this divide, embed talent development as a national and business imperative to sustain our leadership. Globally, India leads in a lot many areas in IT, whether we can bring the same level of leadership to the AI Alliance is our biggest challenge today.

—as told to India Today

So, it is adjusting and adapting so much more in a way that humans do. Not all clients may be clued in to AI; its adoption in their own processes may be gradual. However, they would be curious to know from their IT services vendors how AI can be meaningfully used to impact bottom lines. "Even before the advent of AI, a lot of automation was happening already. What AI has done is to accelerate that process and also extend it to tasks that were not getting automated or not considered," he says. Moreover, business uncertainties are compelling firms to encourage IT providers to use more AI and deliver higher cost efficiencies. "Companies want either all of those services the IT firm had been providing in the past at a much lower cost, or a much bigger basket of services at the same cost," he adds. Gurnani feels that companies will tread the AI turf cautiously. "Technology at home is far superior to technology at work," he says. "Corporates are always cautious about data coming to them from various sources (by using AI tools). They will not use them unless they are sure about co-alliances, security and regulatory aspects (of that information)."

No doubt, IT firms are handling some of the most advanced technologies used to run complex businesses, like running an airport or a passport service. "Traditionally, it would have sufficed to excel in SAP or data warehouses, or Microsoft or Salesforce technologies, to solve and integrate the systems and datasets of an organisation in order to make things work. Now, the stack has moved to new sets of tools and techniques, especially AI," says Velamakanni.

In vogue now are tools from firms like cloud data platform company Snowflake, AI enterprise solutions firm Databricks, Amazon machine learning platform AWS Sagemaker and Hugging Face, a community that makes machine learning accessible. Mid- to senior-level IT workers now need to know these rather than skills like Microsoft SQL Server or Oracle. They also need to learn to code with AI. Equally important are skills in application programming interfaces (APIs) that allow different software applications to communicate with each other. IT professionals will have to integrate these new foundation models into their products, in order to drive greater effectiveness.

The Great Indian Skill Gap

Companies like TCS are now realising they have too many people with skills that are becoming redundant and too few with new-age skills, leading to a skill gap. Not everyone is capable or willing to upskill, which explains why those laid off at TCS are in the 30-40 age bracket; many of them may have been doing 'legacy' work.

But AI is not the only factor driving the shift in the nature of IT jobs. "While everybody is focused largely on the disruption caused by AI, there are two other very significant factors: insourcing through GCCs, and the significant legacy systems baggage large IT companies have in older technologies such as mainframes and client server and the maintenance, testing and infrastructure support they require," says Ramkumar Ramamoorthy, partner at growth advisory firm Catalincs, and former chairman and MD of Cognizant India. A significant portion of the revenue, therefore, now comes from what is called 'run-the-business' as opposed to transformational work